# INSURANCE AND PENSIONS COMMISSION

**MARKET STATISTICS FOR**

**LIFE ASSURERS**

FOR THE HALF YEAR ENDED 30 JUNE 2011

## Contents

**List of Acronyms and Abbreviations**

| | |
|---|---|
| **GPW** | Gross Premium Written |
| **NPI** | Net Premium Income |
| **GPI** | Gross Premium Income |
| **IPEC/ Commission** | Insurance and Pension Commission |

**NOTE: ALL MONETARY FIGURES ARE IN USD**

## 1.0 Executive Summary

This report reviews the performance of life assurers as well as report on the developments that occurred in the life assurance industry during the quarter ended 30 June 2011. There were nine registered assurers with CBZ Life commencing operations in the period under review. Excluding IGI, all life assurers were compliant with the minimum regulatory capital requirement of $500 000 stipulated in Statutory Instrument 189 of 2009. The Commission will conduct capital verification on all the life assurers before year end.

In a bid to align the capital thresholds with the increasing risk levels assumed by life assurers, the Commission is reviewing upwards the minimum capital requirements for the insurance sector. Consultations on the same are in progress and players are urged to gear up to meet the higher capital levels, which are to be introduced next year to strengthen underwriting capacity and expected to match regional thresholds.

The total asset base for life assurers increased from $976.64 million as at 31 March 2011 to $1.02 billion as at 30 June 2011 on the back of increase in business volumes emanating from the general improvements being recorded in the macro-economic environment. The asset base for the industry was skewed towards the volatile equities, which accounted for 49.81% of total assets. This results in heightened exposure to market risk emanating from adverse movements in equity prices. The concentration of the life assurance industry's asset base in equities emanated from limited viable investment options in the economy. There was also low level of prescribed assets in the market.

The life assurance market remains oligopolistic in nature with 95% of the market underwritten by the top 3 assurers. During the period under review, there was marked business growth. GWP for the market aggregated $54.6 million compared to $58.4 million for the whole year of 2010. The growth in business is attributable to improved economic environment. This has in turn impacted positively on disposable incomes thus enabling more people to buy life policies.

The market exhibited a high risk appetite with life assurers retaining an average of 87.91% of the gross premium written. This may expose the life assurers to heightened underwriting risk and eventually solvency risk.

## 2.0 Introduction

There were nine life assurance companies, the same number as at 31 December 2010. CBZ Life commenced operations during the period under review.

## 3.0 Asset Base

The asset base for life assurers increased by 3.81%, from $982.6 million as at 31 December 2010 to $1.02 billion as at 30 June 2011, on the back of an increase in business volumes. The increase in business volumes is emanating from the general improvements being recorded in the macro-economic environment. The major increases in total assets were recorded in equities which rose from $474.11 million as at 31 December 2010 to $510.28 million as at 30 June 2011.

**Table 1: Life Industry Asset Base**

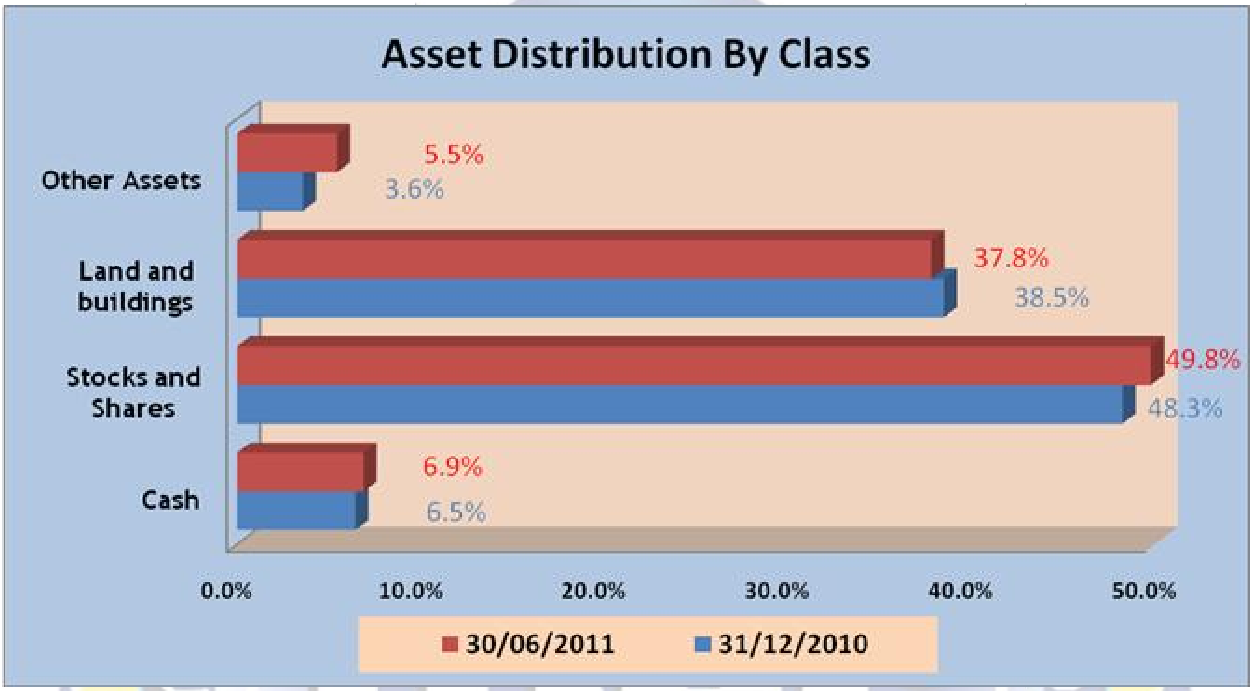
| | Stock and Shares | Land & Buildings | Cash | Other Assets | Total Assets |
|---|---|---|---|---|---|
| **Altfin** | 2,895,843 | 685,000 | 129,060 | 1,799,412 | 5,509,315 |
| **Evolution** | 46,862 | 1,591,880 | 100,218 | 1,602,780 | 3,341,740 |
| **Fidelity** | 3,996,730 | 3,437,928 | 0 | 10,768,323 | 18,202,981 |
| **FML** | 39,748,405 | 0 | 1,611,658 | 15,939,571 | 57,299,634 |
| **IGI** | 79,643 | 209,004 | 15,979 | 298,207 | 602,833 |
| **Old Mutual** | 435,309,511 | 369,123,687 | 66,910,554 | 17,589,971 | 888,933,723 |
| **CBZ Life** | 0 | 0 | 1,229,411 | 128,381 | 1,357,792 |
| **Zb Life** | 19,860,019 | 2,924,000 | 133,278 | 3,172,784 | 26,090,081 |
| **Zimnat** | 8,599,785 | 9,823,000 | 637,149 | 4,634,231 | 23,694,165 |
| | | | | | |
| **Total** | **510,536,798** | **387,794,499** | **70,767,307** | **55,933,660** | **1,025,032,264** |

## 4.0 Asset Composition

The asset mix for the industry remained skewed towards the volatile equities, which accounted for 49.81% of total assets. There were marginal changes in the overall asset composition as depicted in Figure 1 below. Concentration of the asset mix in equities results in heightened exposure to market risk emanating from adverse movements in equity prices. The concentration of the life assurance industry's asset composition in equities was as a result of limited investment options in the market, in particular prescribed assets.

While currently there are limited investment options, the Zimbabwean insurance legislation prohibits offshore investments. The insurance industry has made representations to invest offshore, a position which the Commission is considering. However, low uptake of existing prescribed assets and the turbulent global financial markets do not favour the industry's proposal.

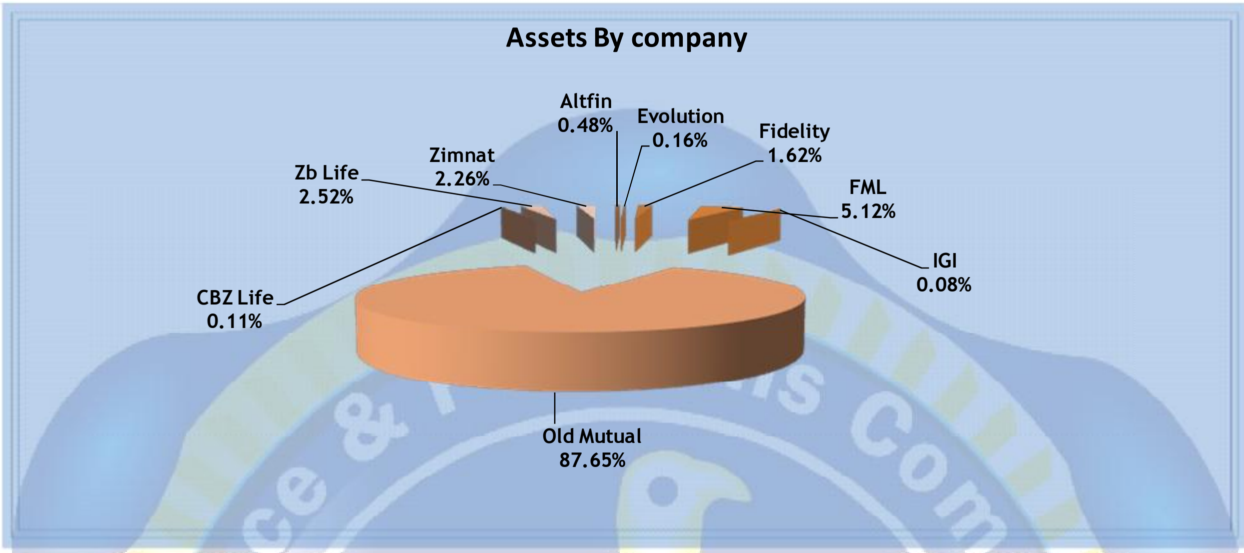
**Figure 1: Total Assets by Class**




**Market Share**

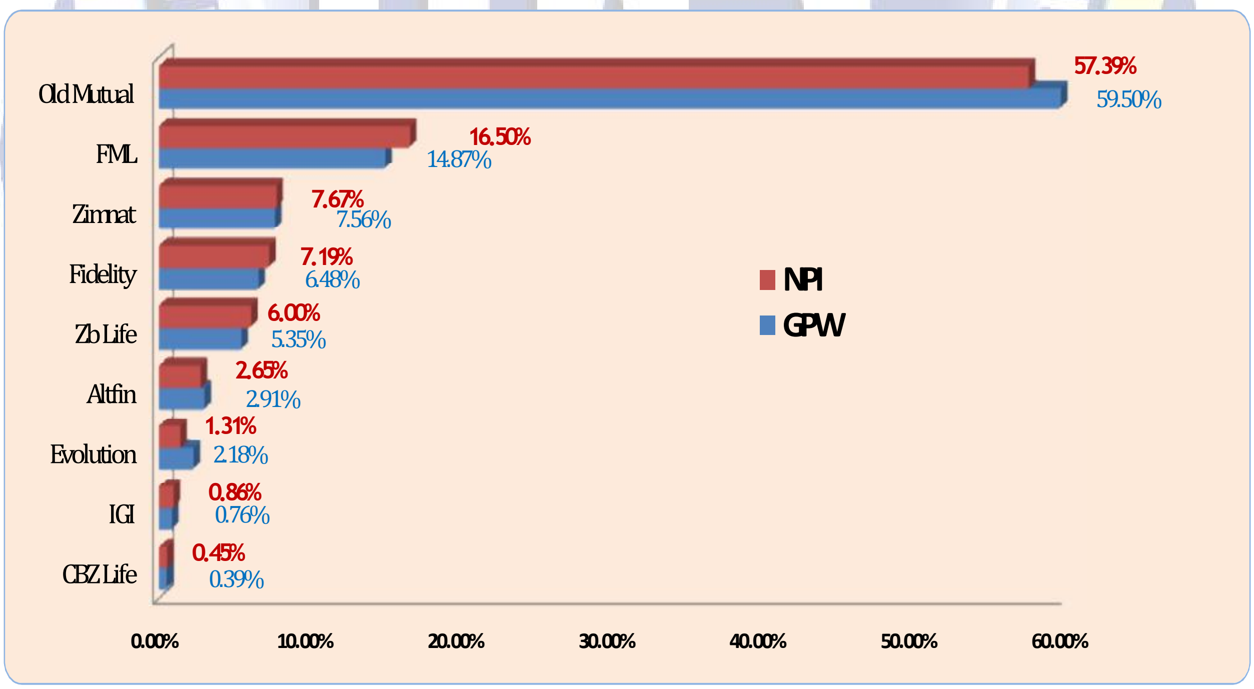
The structure of the life assurance industry remained oligopolistic with the top three life assurers' market share of assets remaining unchanged at 95% of total assets as at 30 June 2010.This is shown in Figure 2 below. Old Mutual continues to be the dominant player contributing 86.77% of the total market and in terms of assets.

**Figure 2: Total Assets by Company**




The life assurers reported total gross premium written of $54.6 million for the half year period under review. In terms of gross premium written and net premium income for the period under review, the top three life assurers controlled 81.93% and 81.56% respectively, as shown in Figure 3, further confirming the oligopolistic nature of the market.

**Figure 3: Gross Written Premium/Net Premium Income**



## 5.0 Capitalisation

As at 30 June 2011, all life assurers were compliant with the minimum regulatory capital requirements of $500 000 serve for IGI as shown in Table 2 below. Total capitalization for the industry was $147.7 million . The Commission will conduct capital verification on all the life assurers during the second half of the year.

In a bid to align the capital thresholds with the increasing risk levels assumed by life assurers the Commission is reviewing upwards the minimum capital requirements for the insurance sector. Consultations on the same are in progress and players are urged to gear up to meet the higher capital levels, which are to be introduced next year to strengthen underwriting capacity and expected to match regional thresholds.

Table 2 shows that some players had low actuarial reserves contrary to international best practice which requires that all insurers provide for actuarial reserves. Low actuarial reserves may translate to overstatement of solvency positions. All insurers should provide for actuarial reserves. The Commission will engage life assurers with low actuarial reserves with a view to ensure that they observe this prudential requirement.

**Table 2: Capital and Actuarial Reserves**

| | Issued Share Capital | Other Capital * | Retained Earnings | Total Owners' Equity | Actuarial Reserves |
|---|---|---|---|---|---|
| **Altfin** | 542,000 | 0 | 4,724,527 | **5,266,527** | 0 |
| **CBZ Life** | 2,000 | 1,388,012 | 0 | **1,390,012** | 43,539 |
| **Evolution** | 3 | 1,765,738 | 160,856 | **1,926,597** | 951 |
| **Fidelity** | 1,185,317 | 1,089,233 | 2,167,235 | **4,441,785** | 11,264,003 |
| **FML** | 201 | 2,606,300 | 3,963,647 | **6,570,148** | 3,005,265 |
| **IGI** | 30,000 | 281,019 | (15,832) | **295,187** | 110,395 |
| **Old Mutual** | 131,844 | 29,950,844 | 88,072,572 | **118,155,260** | 795,460,677 |
| **ZB Life** | 250,000 | 4,750,000 | 1,333,731 | **6,333,731** | 19,055,243 |
| **Zimnat** | 50,000 | 450,000 | 2,798,120 | **3,248,120** | 16,653,214 |
| Total | **2,191,365** | **42,281,146** | **103,204,856** | **147,677,367** | **845,593,287** |

*Other Capital includes reserves and share premium

## 6.0 Written Business

The market reported GPW of $54,60 million for the half year ended 30 June 2011 compared to an annual figure of $58,46 million written for the year ended 31 December 2010. Refer Table 3 below. This may be partially attributable to growth of disposable incomes.

**Table 3: Premium Distribution by Company for the Period Ending 30 June 2011**

| | GPW | NPI |
|---|---|---|
| **Altfin** | 1,588,536 | 1,275,273 |
| **CBZ Life** | 214,179 | 214,179 |
| **Evolution** | 1,192,889 | 627,546 |
| **Fidelity** | 3,539,201 | 3,452,868 |
| **FML** | 8,124,408 | 7,923,100 |
| **IGI** | 415,697 | 413,894 |
| **Old Mutual** | 32,507,025 | 27,564,597 |
| **Zb Life** | 2,921,647 | 2,879,631 |
| **Zimnat** | 4,131,735 | 3,682,089 |
| | | |
| **Total** | **54,635,317** | **48,033,177** |

## 7.0 Reinsurance and Retention

Risk appetite remains high with an average retention ratio of 87.91%. This is contrary to prudent insurance principle of spreading the risk and heightens risk of failure to meet claims especially given the low liquidity prevailing in the macroeconomic environment and limited investment income. The Commission is closely monitoring this scenario with a view to ensuring prudence on the part of some players.

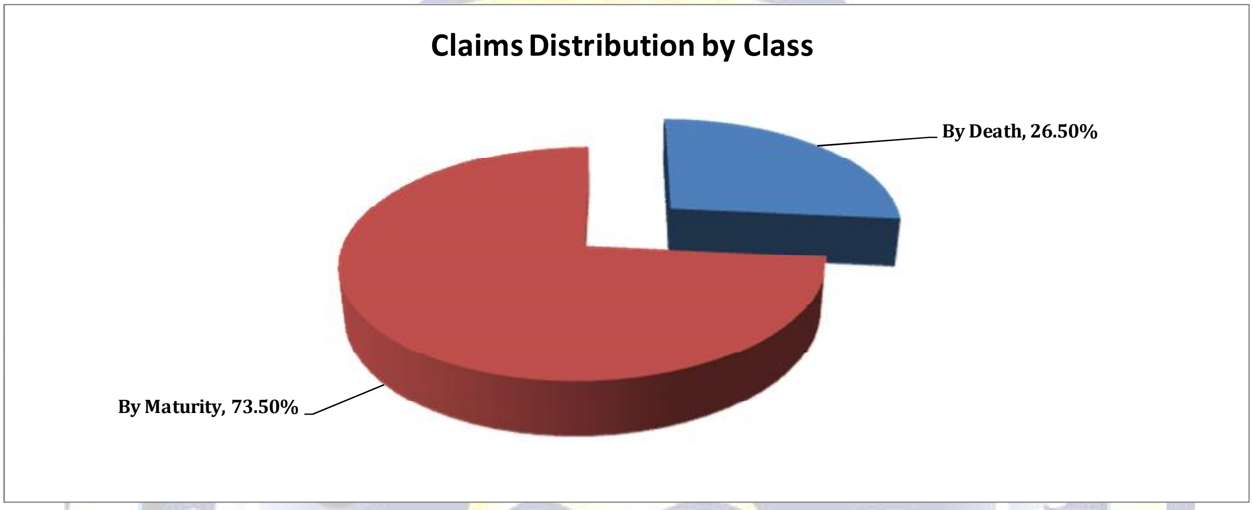
**Table 4: Reinsurance and Retention by Company**

| | GPW | Reinsurance | Retention Ratio (%) |
|---|---|---|---|
| **Altfin** | 1,588,536 | 313,263 | 80.28 |
| **CBZ Life** | 214,179 | 1,803 | 99.16 |
| **Evolution** | 1,192,889 | 565,343 | 52.61 |
| **Fidelity** | 3,539,201 | 86,333 | 97.56 |
| **FML** | 8,124,408 | 201,308 | 97.52 |
| **IGI** | 415,697 | 1,803 | 99.57 |
| **Old Mutual** | 32,507,025 | 4,942,428 | 84.80 |
| **Zb Life** | 2,921,647 | 42,016 | 98.56 |
| **Zimnat** | 4,131,735 | 449,646 | 89.12 |
| | | | |
| **Total** | 54,635,317 | 6,603,943 | 87.91 |

## 8.0 Claims

Total claims amounted to $22.1 million as at 30 June 2011. Figure 4 shows that claim payouts are mainly driven by maturity rather than premature death, a situation which suggests the profitability of term policies. The life assurers reported a claims ratio of 40% as at 30 June 2011.

**Figure 4: Total Claims by Class**




The average ratio of settled claims to total claims was 77% as at 30 June 2011. The Commission puts great emphasis on settlement of claims and requires members to meet claim obligations as and when they fall due in order to restore public confidence in the industry. Going forward our report will include surrenders, paid ups and lapse ratios which are vital indicators of prudential operation of insurance companies.

**Table 5: Total Claims by Company.**

| Name of Assurer | Outstanding Claims | Settled Claims | Total Claims | Settled Claims/Total Claims |
|---|---|---|---|---|
| Altfin | 141,664 | 202,740 | 344,404 | 58.87% |
| CBZ Life | 0 | 0 | 0 | 0.00% |
| Evolution | 0 | 413,918 | 413,918 | 100.00% |
| Fidelity | 118,343 | 280,949 | 399,292 | 70.36% |
| FML | 2,209,021 | 2,165,123 | 4,374,144 | 49.50% |
| IGI | 0 | 59,330 | 59,330 | 100.00% |
| Old Mutual | 1,743,518 | 12,268,980 | 14,012,498 | 87.56% |
| Zb Life | 615,192 | 457,330 | 1,072,522 | 42.64% |
| Zimnat | 288,814 | 1,131,179 | 1,419,993 | 79.66% |
| **Total** | **5,116,552** | **16,979,549** | **22,096,101** | **76.84%** |